2026

ASSET BACKED SECURITIZATION OF CONSUMER LOANS.

ASSET BACKED SECURITIZATION OF CONSUMER LOANS FOR MITTEN BANKS.

ISAAC IDOKO

07038054946 | idokoisaacinalegwu@gmail.com

Executive Summary

The Deal: Mittens Bank is seeking to securitize a $2.707 Billion pool of consumer loans to free up regulatory capital and originate new assets. The transaction is structured into three tranches: Tranche A ($2 Billion Senior) with an 8% coupon, Tranche B ($500 Million Mezzanine) with a 12% coupon, and a $207.434 Million Equity tranche retained by the bank.

The Result: Based on Historical vintage performance and base-case assumptions, Tranche A Achieved a weighted average life (WAL) of 35months with an expected yield of 11.56% while Tranche B offers a higher yield of 17.33% to compensate for subordination risk.

2. Collateral Analysis

- **Pool Size & Metrics:** The eligible pool consists of ~170,461 active loans totaling $2.707 Billion. It boasts a Weighted Average Coupon (WAC) of 13.26% and a Weighted Average Maturity (WAM) of 46 months.
- **Diversification:** The pool is highly diversified, with the largest sector (Debt Consolidation) making up 59.8%, followed by Credit Cards at 24.1% and home improvements at 6.30%.
- **Historical Performance:** *"Analysis of mature vintages (2019–2022) indicates a cumulative default rate of roughly 15% to 19%. To account for this, our Base Case assumes an annual Conditional Default Rate (CDR) of 6% and a 10% Conditional Prepayment Rate (CPR).*

3. The Structure & Waterfall

- **Credit Enhancement:** Tranche A benefits from the subordination of Tranche B (20% of the deal) and the Equity tranche (~8%), providing total credit enhancement of roughly 28% against losses.
- **Waterfall Mechanics:** The deal utilizes a Pro-Rata principal distribution. All tranches receive their scheduled interest payments first. Remaining cash flow is then distributed pro-rata (80% to Tranche A, 20% to Tranche B) to pay down principal. This ensures the mezzanine tranche is not starved of cash flow.

4. Key Risks

- **Prepayment Risk:** If interest rates drop, borrowers may refinance, paying off the loans early (high CPR). This reduces the total interest income generated for the bondholders.
- **Credit Risk:** A macroeconomic shock (e.g., inflation, unemployment) could push the CDR above the **10%** stress threshold, resulting in principal losses for Tranche B.
- **Servicing Risk:** The performance of the ABS is highly dependent on Mittens Bank's ability to efficiently collect payments and manage defaults.

5. Conclusion

- This ABS structure provides an optimal outcome for Mittens Bank: it raises $2.5 Billion in immediate funding at a lower blended cost of capital than unsecured debt, while retaining the upside of the loan pool via the Equity tranche.